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Jiangsu Zhongtian Technology | Asia Pacific

Optical fiber demand from AIDC tailwind confirmed

Key Takeaways

- ZTT announced a Rmb1.34bn (excl. VAT) order from a large domestic hyperscaler, with pricing broadly in line with market levels. Delivery will commence in June.
- The contract represents ~18% of ZTT's optical information segment revenue, or 25-27% of its optical fiber and cable business revenue in 2025.
- Total demand from the AIDC customer is 13-14mn core-km (~70% for G.657A1 and ~20% for G.652D), with ZTT securing a portion of the tender.
- The skew toward G.657 highlights rising demand for higher-spec fiber suited for high-density AIDC, versus traditional G.652D used in telecom networks.
- We expect this order to carry a relatively high margin, given stable G.657A1 pricing (excl. VAT) at Rmb123.9/km, compared with Rmb81.9/km for G.652D as of end-May 2026.

ZTT recently secured a Rmb1.518bn (incl. VAT) contract with a domestic AIDC customer, primarily supplying G.657A1 fiber under an FY27 annual procurement program. Execution will commence in June 2026 and run for ~one year.

AI-driven demand is shifting mix toward G.657 products, which are higher priced and more capacity-constrained than standard G.652D fiber: According to ZTT, total fiber demand from this client is ~13-14mn core-km, with G.657A1 of ~70%, followed by G.652D of ~20%, and a smaller portion of multimode fiber. ZTT secured part of the tender, with contract pricing broadly in line with market levels and moderate discounts for large customers.

According to CRU, China spot prices (excl. VAT) for higher-spec fiber G.657A1 and standard G.652D were Rmb123.9/km and Rmb81.9/km as of end-May 2026, up from nil and Rmb31.5/km at end-Jan 2026, and nil and Rmb17.6/km at end-Nov 2025, respectively.

Relevant Research:

[Structural Growth Marks Robust Earnings Outlook \(7 May 2026\)](#)

[Early Fiber Pricing Inflection in 1Q26, More Earnings Upside to Come \(26 Apr 2026\)](#)

[Buyback Initiatives Reinforce Management's Confidence; Reiterate OW \(30 Mar 2026\)](#)

[Post meeting takeaways: Persistent Optical Fiber Upcycle; Structural Upside for Offshore Wind \(24 Mar 2026\)](#)

[Optical Repricing Drives Earnings Upside \(25 Feb 2026\)](#)

[Three Pillars Of Structural Growth \(6 Feb 2026\)](#)

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Asia Summer School 2026

Jiangsu Zhongtian Technology Co. Ltd. (600522.SS, 600522 CG)

China Utilities | China

Stock Rating	Overweight			
Industry View	Attractive			
Price target	Rmb53.23			
Up/downside to price target (%)	16			
Shr price, close (Jun 5, 2026)	Rmb46.07			
52-Week Range	Rmb47.40-13.12			
Sh out, dil, curr (mn)	3,413			
Mkt cap, curr (mn)	Rmb157,235			
EV, curr (mn)	Rmb145,718			
Avg daily trading value (mn)	Rmb3,016			

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	0.85	1.88	2.43	3.01
Prior EPS (Rmb)**	-	-	-	-
EPS (Rmb)\$	0.92	1.70	2.22	3.09
Revenue, net (Rmb mn)	52,500	62,480	72,252	84,380
EBITDA (Rmb mn)	4,770	8,537	10,773	13,105
ModelWare net inc (Rmb mn)	2,902	6,421	8,306	10,282
P/E	21.3	24.5	18.9	15.3
P/BV	1.7	3.7	3.2	2.8
RNOA (%)	10.6	22.1	24.9	27.6
ROE (%)	8.3	17.4	19.6	21.1
EV/EBITDA	10.6	16.8	13.1	10.5
Div yld (%)	1.4	1.3	1.7	2.2
FCF yld ratio (%)**	2.7	2.5	3.8	4.8
Leverage (EOP) (%)	(40.8)	(42.5)	(45.2)	(47.8)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

\$ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Jiangsu Zhongtian Technology Co. Ltd. (600522.SS)

Base case, discounted cash flow model, which captures long-term cash flows for 2027-37. Key assumptions:

- WACC of 9.67% - CoE of 10.55% (beta of 1.2, risk-free rate of 3.15%, risk premium of 4.5%, China premium of 2.0%); after-tax CoD of 5.25%; target debt to capital ratio of 20.0%
- 2% terminal growth

Risks to Upside

- Revenue acceleration in optical I&C segment, amid ASP boost for optical fiber
- Higher offshore wind submarine cable penetration in overseas markets (especially Europe)
- Better-than-expected operating cost management

Risks to Downside

- Lower-than-expected optical I&C revenue growth
- Subpar order intake of submarine cable in overseas markets
- Subpar operating cost management

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(as of May 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

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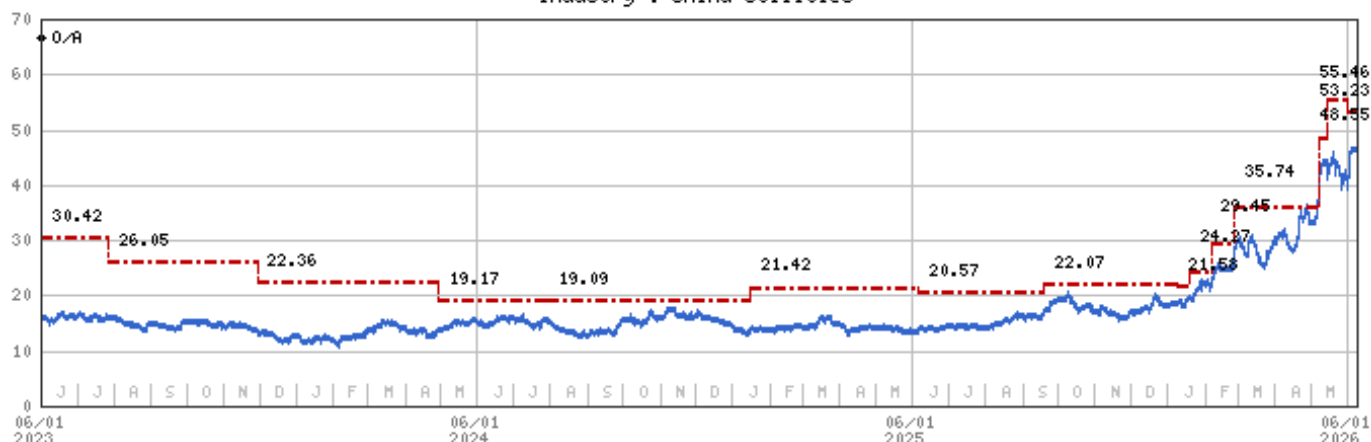
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INDUSTRY COVERAGE: China Utilities

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/05/2026)
Eva Hou		
CGN Power Co., Ltd (1816.HK)	E (03/21/2026)	HK\$3.08
CGN Power Co., Ltd (003816.SZ)	U (03/29/2021)	Rmb4.33
China Longyuan Power Group (0916.HK)	E (01/20/2026)	HK\$6.40
China Longyuan Power Group (001289.SZ)	E (08/06/2024)	Rmb18.38
China Resources Power (0836.HK)	E (03/21/2026)	HK\$21.02
China Yangtze Power Co. (600900.SS)	O (11/14/2023)	Rmb27.61
Dajin Heavy Industry (002487.SZ)	O (04/18/2026)	Rmb63.67
Goldwind (002202.SZ)	U (01/20/2026)	Rmb23.00
Goldwind (2208.HK)	E (08/17/2022)	HK\$12.25
Guangdong Investment (0270.HK)	O (08/18/2020)	HK\$8.27
Hangzhou First Applied Material Co. Ltd (603806.SS)	O (01/18/2023)	Rmb17.24
Henan Pinggao Electric (600312.SS)	O (01/18/2024)	Rmb19.25
Huaneng Power International Inc. (0902.HK)	E (06/30/2022)	HK\$7.10
Huaneng Power International Inc. (600011.SS)	U (04/07/2021)	Rmb8.39
JA Solar Technology Co Ltd (002459.SZ)	E (09/02/2025)	Rmb8.44
Jiangsu Zhongtian Technology Co. Ltd. (600522.SS)	O (10/12/2020)	Rmb46.07
LONGi Green Energy Technology Co Ltd (601012.SS)	U (09/02/2025)	Rmb13.13
NARI Technology (600406.SS)	O (11/01/2015)	Rmb23.45
Ningbo Orient Wires & Cables Co Ltd (603606.SS)	O (08/17/2022)	Rmb40.21
Riyue Heavy Industry Co., Ltd. (603218.SS)	O (02/11/2025)	Rmb11.14
Shanghai Electric (2727.HK)	U (03/26/2021)	HK\$4.07
Shanghai Electric (601727.SS)	U (03/26/2021)	Rmb7.84
Sieyuan Electric Co.Ltd. (002028.SZ)	O (07/01/2025)	Rmb177.49
Sinoma Science & Technology Co. Ltd. (002080.SZ)	O (09/23/2025)	Rmb62.73
Tongwei Co. Ltd. (600438.SS)	E (09/02/2025)	Rmb13.60
XJ Electric (000400.SZ)	E (03/21/2026)	Rmb23.19

Hannah Yang, CFA

Xinyi Solar Holdings Ltd (0968.HK)	O (07/30/2020)	HK\$2.53
Tom Li		
Anhui Yingliu Electromechanical Co Ltd (603308.SS)	O (04/08/2026)	Rmb64.34
Huaming Power Equipment (002270.SZ)	O (04/08/2026)	Rmb20.59
Ningbo Sanxing Medical Electric Co. Ltd. (601567.SS)	O (04/08/2026)	Rmb15.34

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.